# Bank of Leeds Investment Proposal

# Yorkshire Freight Growth Fund

## A £1 Billion Strategy to Transform Road, Rail and Inland Waterway Freight Across Yorkshire

**Prepared for:** Bank of Leeds – Infrastructure & Industrial Investment Division
**Sector:** Logistics, Industrial Property, Transport Infrastructure, Supply Chain Finance
**Investment Horizon:** 10–15 years

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# Executive Summary

This proposal recommends that Bank of Leeds establish a **Yorkshire Freight Growth Fund** to finance logistics infrastructure that improves freight movement across Yorkshire by road, rail and inland waterways.

The objective is not to replace existing transport networks but to strengthen Yorkshire's position as the principal logistics hub connecting:

- Scotland
- Northern England
- the Midlands
- the Humber ports
- the Port of Liverpool
- European trade routes.

Yorkshire already occupies a strategic position on the UK's motorway network and benefits from nationally significant rail corridors, while West Yorkshire's own transport strategy identifies freight capacity as a priority for future economic growth.

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# Investment Thesis

Yorkshire's competitive advantages include:

- M1, M62 and A1(M) motorway corridors
- East Coast Main Line
- TransPennine rail routes
- The Humber estuary, including the Port of Hull
- Existing logistics clusters around Leeds, Wakefield and Doncaster

However, the region still faces bottlenecks:

- limited rail freight capacity
- insufficient intermodal terminals
- underused inland waterways
- fragmented warehousing
- increasing road congestion

West Yorkshire's Freight Study notes that freight already employs around **56,000 people (5.1% of the workforce)** and highlights the need for greater rail freight capacity and better use of inland waterways.

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# Vision

Create the largest integrated freight investment programme in Yorkshire.

The programme would finance:

- logistics parks
- rail freight terminals
- canal freight revival
- warehouse automation
- truck infrastructure
- SME freight finance

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# Total Programme

## Yorkshire Freight Growth Fund

**Target Size**

# £1 billion

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Funding Structure

| Source | Investment |
|---|---|
| Bank of Leeds | £300m |
| Pension Funds | £300m |
| Infrastructure Funds | £250m |
| Private Investors | £150m |

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# Investment Allocation

| Sector | Investment |
|---|---|
| Logistics parks | £300m |
| Rail freight terminals | £250m |
| Industrial warehouses | £200m |
| Canal freight | £100m |
| Vehicle finance | £100m |
| Technology & AI logistics | £50m |

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# 1. Road Freight Strategy

Road freight will continue to handle the majority of regional distribution.

Investment should focus on improving productivity rather than simply increasing truck numbers.

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## Logistics Parks

Develop six strategic logistics parks.

Locations:

- Leeds
- Wakefield
- Doncaster
- Sheffield
- Hull
- York

Each park:

- 500,000 sq ft warehouse space
- cross-docking
- refrigerated storage
- truck maintenance
- EV charging
- hydrogen-ready refuelling

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Construction Cost

Average logistics park

£50 million

Six parks

# £300 million

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Rental Income

Average rent:

£9/sq ft

500,000 sq ft

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£4.5m annual rental income

Six parks

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# £27 million annually

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# 2. Rail Freight Expansion

The greatest opportunity is shifting longer-distance freight from road to rail.

West Yorkshire's Rail Strategy specifically identifies increased freight capacity and freight interchange facilities as long-term priorities.

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## Proposed Rail Freight Terminals

Locations:

- Wakefield
- Leeds
- Doncaster
- Sheffield
- Hull

Each includes:

- intermodal cranes
- container storage
- warehousing
- customs facilities
- rail sidings

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Construction Cost

£50 million each

Five terminals

# £250 million

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Capacity

Each terminal:

100,000 containers annually

Portfolio:

500,000 containers

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Revenue

Handling fee:

£60/container

500,000 containers

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# £30 million annually

Warehousing and logistics services provide additional revenue.

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# 3. Canal Freight Revival

Yorkshire possesses valuable inland waterways:

- Aire & Calder Navigation
- Sheffield & South Yorkshire Navigation
- Leeds & Liverpool Canal

Most waterways now carry little commercial freight but remain capable of supporting niche bulk movements if infrastructure is modernised. Regional freight studies identify investment needs before waterways can play a larger freight role.

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Potential cargoes:

- aggregates
- timber
- recycled materials

- construction products
- biomass

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Investment Programme

Modern loading wharves

£10m

Five freight wharves

£50m

Canal vessel finance

£20m

Navigation improvements

£30m

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Total

# £100 million

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Projected Revenue

Freight handling

£8 million/year

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# 4. Industrial Warehouse Portfolio

Develop:

20 premium industrial warehouses

Average size:

250,000 sq ft

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Construction Cost

£10 million each

20 warehouses

# £200 million

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Rental Model

Average rent:

£8/sq ft

Annual income:

250,000 × £8

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£2 million

20 sites

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# £40 million annually

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# 5. SME Logistics Finance

Create a dedicated lending programme.

Products include:

- HGV finance
- trailer leasing
- warehouse robotics
- refrigeration equipment
- fleet electrification

Fund size:

# £100 million

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Interest Income

Average lending rate:

7%

Annual interest:

# £7 million

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# 6. Logistics Technology

Investment:

£50 million

Focus:

- warehouse automation
- AI inventory systems
- routing software
- robotics
- autonomous yard vehicles

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# Financial Summary

## Total Capital Investment

| Category | Cost |
|---|---|
| Logistics Parks | £300m |
| Rail Freight | £250m |
| Warehouses | £200m |
| Canal Freight | £100m |
| SME Finance | £100m |
| Technology | £50m |

# Total

# £1 billion

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# Annual Revenue Forecast (Stabilised)

| Revenue Source | Annual Revenue |
|---|---|
| Logistics parks | £27m |
| Warehouses | £40m |
| Rail terminals | £30m |
| Canal operations | £8m |

| Revenue Source | Annual Revenue |
| --- | --- |
| SME finance | £7m |
| Technology services | £5m |

# Total Revenue

# £117 million annually

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# Operating Costs

Estimated:

£45 million

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# EBITDA

Approximately:

# £72 million annually

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# Portfolio Valuation

Infrastructure assets often trade at EBITDA multiples of **10–14×**, depending on asset quality and income security.

Assuming:

£72m EBITDA

×

12

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# £864 million enterprise value

In addition, the industrial property portfolio itself could appreciate as rents increase and occupancy stabilises.

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# Economic Impact

Construction employment:

Approximately 5,000 job-years over the delivery programme.

Permanent employment:

- warehouse staff
- logistics managers
- maintenance
- rail terminal operators
- technology specialists

Estimated:

# 3,000–4,000 permanent jobs

West Yorkshire's existing freight sector already supports tens of thousands of jobs, indicating a strong industrial base on which to build.

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# Strategic Benefits

The programme would:

- improve supply-chain resilience
- attract manufacturers to Yorkshire
- reduce logistics costs for regional businesses
- strengthen links to Humber ports and national rail corridors
- create long-term industrial property income
- diversify Bank of Leeds' infrastructure lending portfolio

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# Key Risks

- Rail freight growth depends on network capacity improvements and coordination with Network Rail.
- Inland waterway freight is likely to remain focused on bulk cargoes rather than general container traffic.
- Warehouse demand depends on wider economic conditions, although long leases with logistics operators can reduce income volatility.

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# Investment Recommendation

Approve the creation of the:

# Yorkshire Freight Growth Fund

**Bank of Leeds Commitment: £300 million**

**Total Programme Size: £1 billion**

### Expected Outcomes

| Metric | Target |
|---|---|
| Logistics parks | 6 |
| Rail freight terminals | 5 |
| Industrial warehouses | 20 |
| Canal freight hubs | 5 |
| Total investment | £1bn |
| Annual revenue | £117m |
| EBITDA | £72m |
| Permanent jobs | 3,000–4,000 |

## Strategic Vision

The objective is to position Yorkshire as **Northern England's premier multimodal logistics region**, integrating road, rail and waterways into a coordinated freight network backed by modern industrial property and logistics finance.

Rather than treating freight simply as transport infrastructure, this proposal views it as an integrated investment platform that generates recurring rental, handling and financing income while supporting wider regional economic growth.